First Impressions: NZ business confidence, October 2026

#businessconditions #newzealand



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12:17 October 29 2026

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Business confidence was steady in October, suggesting that firms are learning to live with higher fuel prices.



Key results, October 2026

Business confidence: 52.5 (Prev: 51.9)

Expectations for own activity: 46.2 (Prev: 47.9)

Activity vs same month one year ago: 15.0 (Prev: 10.8)

Inflation expectations: 3.31% (Prev: 3.25%)

Pricing intentions: 52.2 (Prev: 48.4)

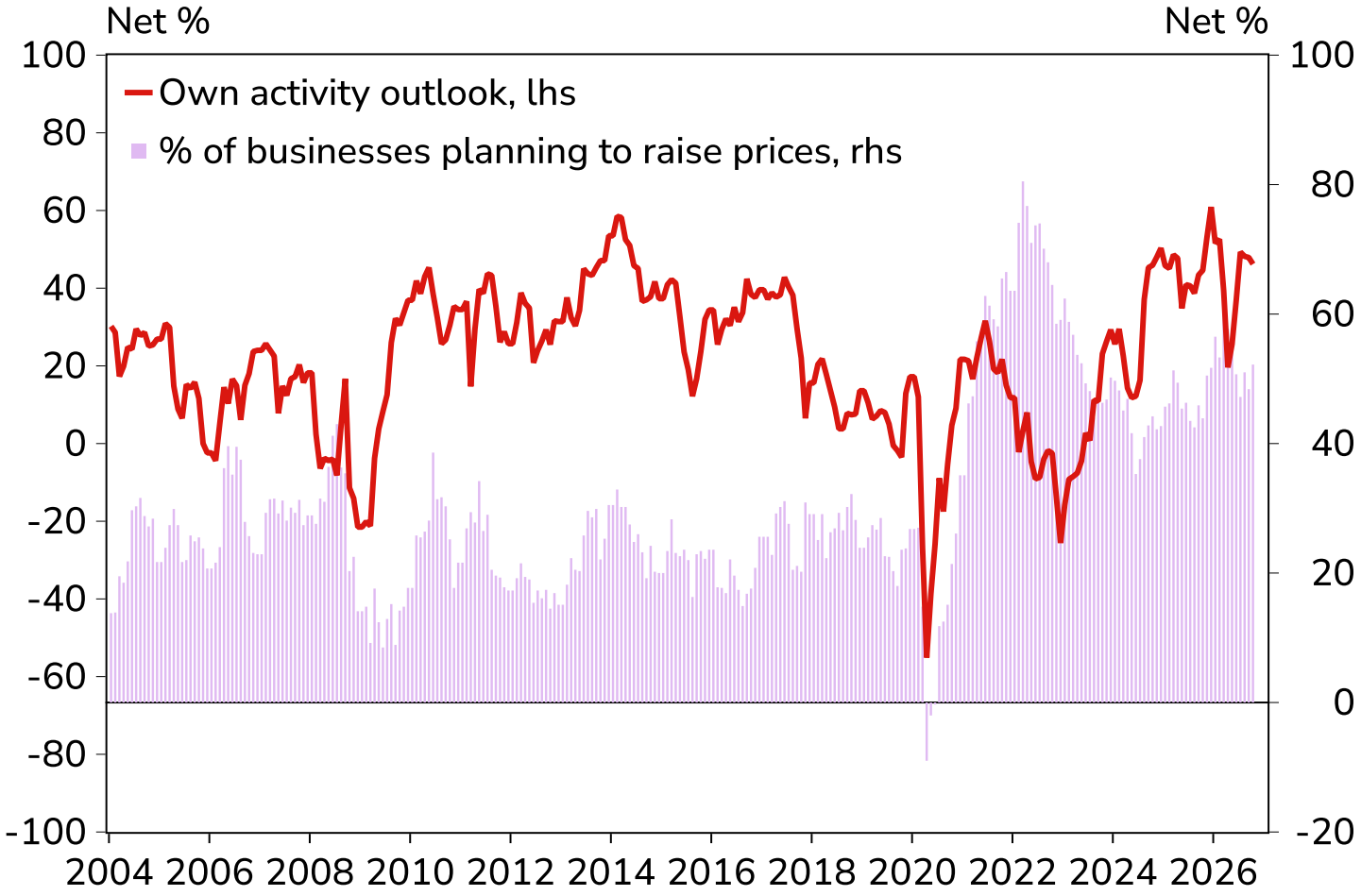
Business confidence remained high in the October survey. General business sentiment was up slightly to 52.5 compared to September, while own-activity expectations were slightly lower at 46.2.

The most notable development in the last month has been the resurgence in fuel prices, with petrol prices at the pump breaking above the previous record highs seen in the initial wake of the Iran conflict. That was understandably reflected in the pricing measures of the survey, with cost expectations and pricing intentions ticking higher. But the general steadiness in the activity measures suggests that businesses are simply learning to live with higher fuel costs.

The proportion of businesses expecting higher costs, and planning to increase their own prices, remains well above pre-Covid levels. However, the expected size of these increases remains relatively muted, and lower than what we saw in the initial stages of the Iran conflict. This perhaps speaks to the view of some of the RBNZ Monetary Policy Committee members (including Governor Breman) that the extent of second-round inflation pressures is less than they initially feared. Actual and expected wage growth also remains muted, although that’s unsurprising as this is typically a lagging indicator.

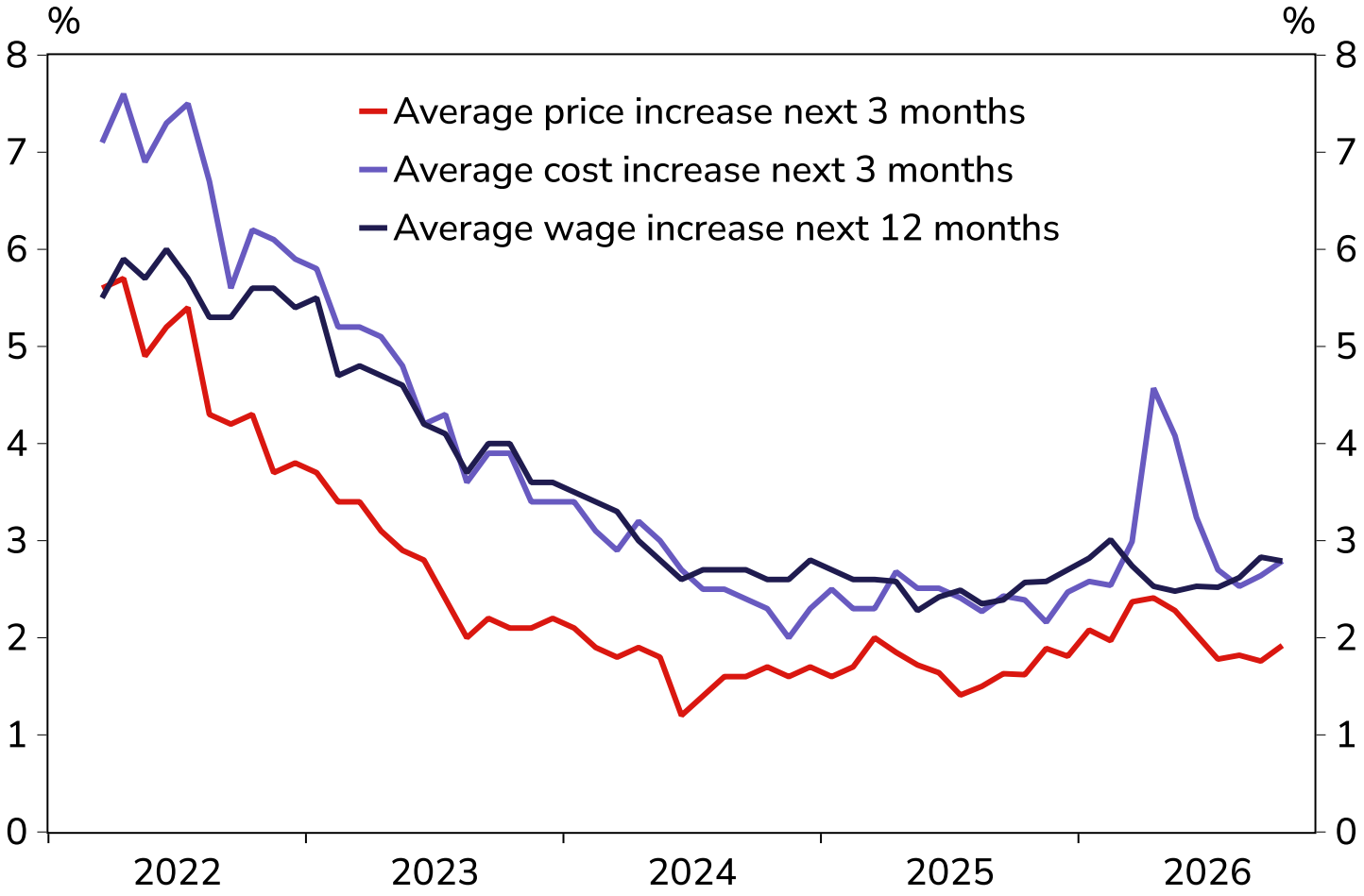
The ANZ business survey is one of the relatively limited number of major data releases ahead of the RBNZ’s December policy review (the next survey will be released on 30 November). Today’s results are unlikely to change minds one way or another – the hikers at yesterday’s OCR decision will note the resilience of activity, while the holders will note the muted degree of cost passthrough. Our view remains that the RBNZ is likely to deliver a 25bp OCR hike in December, but this is far from a done deal.

ANZ Business Outlook survey



Source: ANZ, Macrobond, Westpac Economics

Expected costs and prices



Source: ANZ, Macrobond, Westpac Economics

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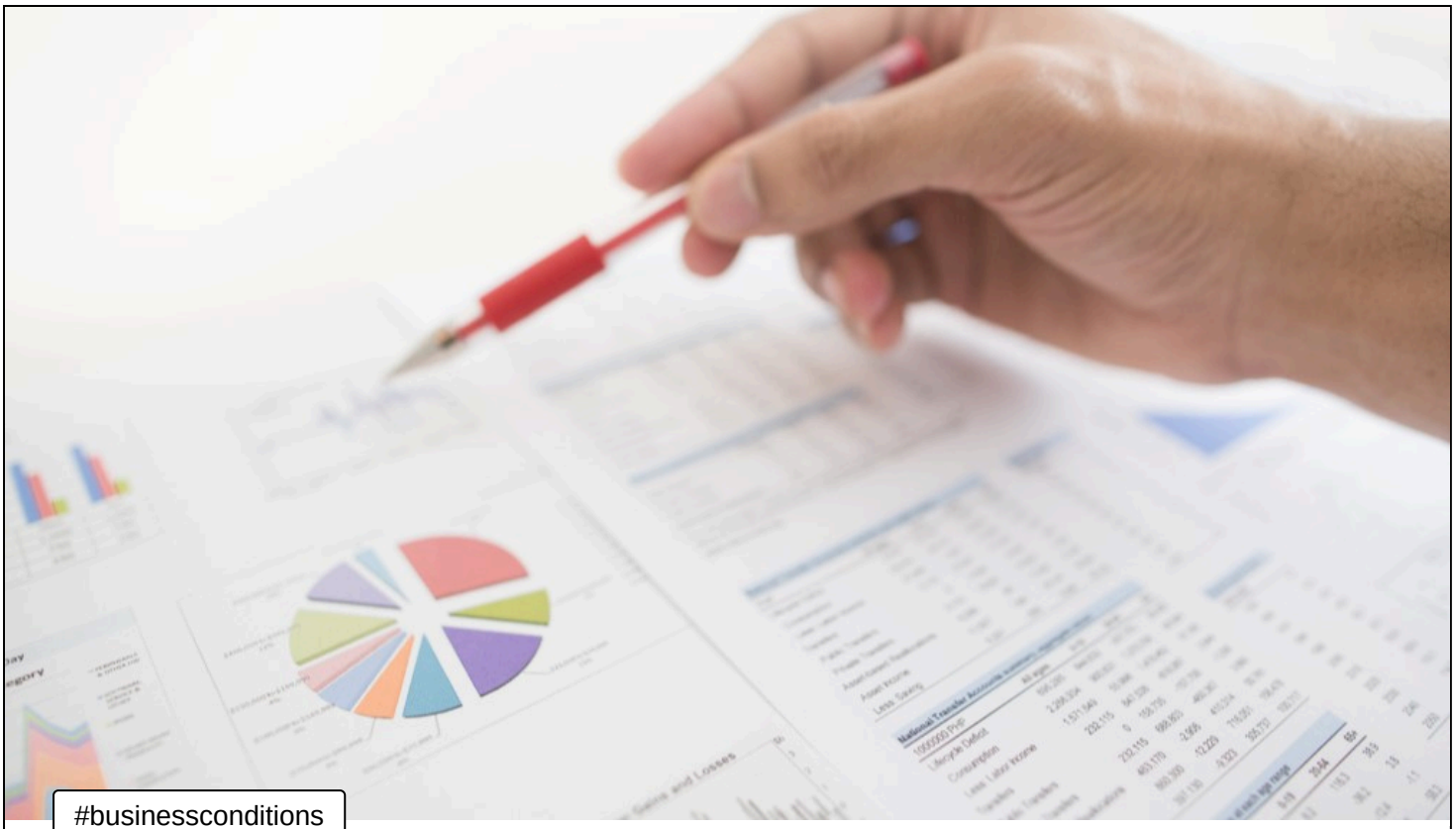
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